DPIIT Section 80-IAC Income Tax Exemption and Angel Tax Framework

Issuing Authority: Department for Promotion of Industry and Internal Trade, Govt. of India

1. 100% Profit Deduction under Section 80-IAC

Eligible DPIIT-recognized startups can avail of 100% income tax exemption on profits for 3 consecutive financial years out of their first 10 years of incorporation. The tax holiday allows innovative ventures to reinvest operating profits into R&D; and team expansion.

2. Eligibility for Inter-Ministerial Board (IMB) Certification

To qualify for 80-IAC exemption, the startup must:

• Be incorporated as a Private Limited Company or LLP on or after April 1, 2016.

• Have an aggregate annual turnover below Rs. 100 Crore in any fiscal year.

• Be certified by the Inter-Ministerial Board of Certification (IMB) as working towards innovation, development, or commercialization of new products or services with high employment potential.

3. Exemption from Angel Tax under Section 56(2)(viib)

Recognized startups submitting Form 2 declaration are completely exempt from tax on share premiums received on equity investment from accredited domestic and international angel investors, venture capitalists, and family offices.

4. Digital Application via Startup India Portal

Startups apply online at startupindia.gov.in with pitch deck, video pitch, balance sheets, and DPIIT registration number. Decisions of the Inter-Ministerial Board are communicated via the digital dashboard.